

Mermaid's principal activities during the course of the Financial Year were:

PRINCIPAL ACTIVITIES

- Operating crewed vessel charters;
- Vessel manning, management and logistics;
- Operating supply base facilities; and
- Equipment hire.

Other than detailed in the Chairman's Report set out at pages 1 and 2 of this report and/or in the Operations Review set out on pages 3 to 9 of this report, (together the "Chairman's and Operations Reviews"), there have been no significant changes to these activities during the Financial Year.

In respect of the financial year ended 30 June 1999, as detailed in the directors' report for that financial year, a final dividend of 1.25 cents per share, franked to 100 per cent at 36 per cent corporate income tax rate, was paid to the holders of fully paid ordinary shares on 1 November 1999.

DIVIDEND

In respect of the financial year ended 30 June 2000 the directors have not recommended the payment of a dividend.

A review of operations for the Financial Year and the results of those operations are set out in the Chairman's and Operations Reviews.

REVIEW OF OPERATIONS

The Chairman's and Operations

SIGNIFICANT CHANGES IN THE STATE OF AFFAIRS

Reviews set out the matters which have had a significant effect on the state of affairs of Mermaid. Other than those matters there were no significant changes in the state of affairs of Mermaid during the Financial Year.

On 25 August 2000 the Company announced that it had reached two agreements for the placement of a total of 16,666,666 ordinary fully paid shares in the Company at an issue price of 30 cents each (Shares).

SUBSEQUENT EVENTS

The first agreement was with Mr Mark Bradley, who agreed to take a placement of 3,225,000 Shares by 29 September 2000, followed by, if approved of by shareholders at the Company's annual general meeting, a further 3,441,666 within 7 days of that meeting.

On Mr Bradley being appointed a Director of the Company, in order to comply with the